

- RAG Learning

1.5 Entrepreneurs and Leaders

Business — Edexcel (9BS0) — Theme 1: Marketing and people

The final topic of Theme 1 looks at the people who start and run businesses: what entrepreneurs do, why they do it, what objectives businesses pursue, the legal forms a business can take, the choices and trade-offs involved, and the difficult transition from founder to leader of an established organisation. Much of the content is descriptive, so the marks lie in **application** — explaining why a particular legal form, objective or source of motivation suits the particular entrepreneur in the extract — and in **evaluating trade-offs**.

Entrepreneur — an individual who has an idea for a business, organises the resources needed to set it up and takes the risk of the venture in return for the potential rewards.

Intrapreneurship — entrepreneurial behaviour by employees within an existing organisation.

Business objective — a specific, measurable goal that a business sets itself in order to achieve its aims.

Profit satisficing — aiming for a satisfactory level of profit rather than the maximum possible, trading some profit for other goals.

Limited liability — owners' losses are limited to the amount they have invested in the business.

Opportunity cost — the value of the next best alternative forgone when a choice is made.

Trade-off — giving up some of one thing in order to gain more of another.

1.5.1 Role of an entrepreneur

a) Creating and setting up a business

The entrepreneur identifies an opportunity (a gap in the market, a new product or a better way of doing something), researches it, writes a business plan, raises finance, chooses a legal structure

and location, obtains resources (premises, equipment, staff, suppliers) and launches. Key roles are **organising factors of production** and **bearing risk**.

b) Running and expanding/developing a business

Once trading, the entrepreneur must manage day-to-day operations, cash flow, customers and staff, and then decide whether and how to grow: new products, new markets, new premises, taking on staff, raising further finance. Growth requires different skills from start-up — delegation, systems and management (see 1.5.6).

c) Innovation within a business (intrapreneurship)

Established firms try to keep entrepreneurial energy by encouraging employees to develop new ideas, with the business bearing the risk and providing resources. Examples: 3M's long-standing policy of letting staff spend part of their time on their own projects (which produced Post-it Notes); Google's "20% time", credited with Gmail; Sony's PlayStation, developed by an employee team. **Benefits:** innovation, retention of creative staff, motivation (Herzberg's motivators).

Drawbacks: cost and time diverted from core work; many projects fail.

d) Barriers to entrepreneurship

- **Lack of finance** — banks are reluctant to lend to start-ups without a track record or collateral.
- **Lack of skills, knowledge or experience** — in finance, marketing, law.
- **Risk aversion and fear of failure** — particularly with unlimited liability.
- **Bureaucracy and regulation** — licences, tax, employment law, health and safety.
- **Market barriers** — established competitors with economies of scale and strong brands.
- **Opportunity cost** — giving up a secure salary.
- **Access to premises and suppliers**, and the difficulty of building a customer base.

Government support (Start Up Loans via the British Business Bank, local enterprise support, tax reliefs for investors such as SEIS/EIS) aims to reduce these barriers.

e) Anticipating risk and uncertainty in the business environment

Entrepreneurs face **risk** (measurable, such as the chance a product fails) and **uncertainty** (unmeasurable, such as a pandemic or sudden policy change) — see 1.1.1. They can reduce risk by

market research, business planning, testing the idea on a small scale, contingency planning, insurance, and keeping cash reserves; they cannot eliminate uncertainty, only build flexibility to respond to it.

1.5.2 Entrepreneurial motives and characteristics

a) Characteristics and skills required

Characteristics	Skills
Resilience and determination; willingness to take calculated risks; self-confidence; creativity; initiative; passion; hard work; ability to cope with uncertainty	Communication and negotiation; financial management; planning and organisation; leadership and team-building; problem-solving; networking; sales and marketing

Characteristics are largely personal traits; skills can be learned and developed. Many successful entrepreneurs compensate for missing skills by recruiting people who have them.

b) Reasons why people set up businesses

Financial motives

- **Profit maximisation** — making the largest possible profit (where the difference between revenue and costs is greatest). The motive most associated with shareholders and high-growth start-ups.
- **Profit satisficing** — aiming for enough profit to provide a comfortable living, leaving time for other priorities (family, leisure). Common among owner-managers of small firms.

Non-financial motives

- **Ethical stance** — running a business according to moral principles: Lush (anti-animal testing), Patagonia (environment; its founder transferred ownership to a trust and non-profit in 2022).
- **Social entrepreneurship** — setting up a business mainly to tackle a social or environmental problem: The Big Issue (employment for homeless people), Toast Ale (beer brewed from surplus bread).

- **Independence** — being your own boss, making your own decisions.
- **Home working** — flexibility and lower costs; made easier by the internet.
- Also: personal satisfaction, pursuing a hobby or passion, necessity after redundancy.

1.5.3 Business objectives

Objective	Meaning	When likely
Survival	Continuing to trade: covering costs and managing cash	New businesses; firms in a recession or facing a crisis
Profit maximisation	Earning the highest possible profit	Firms with demanding shareholders; plcs
Sales maximisation	Achieving the highest possible sales revenue or volume, even at lower margins	Firms seeking scale or where managers' pay is linked to sales
Market share	Increasing the proportion of the market the firm holds	Penetration strategies; markets with network effects
Cost efficiency	Minimising unit costs	Price-competitive mass markets (budget airlines, discount supermarkets)
Employee welfare	Looking after staff: pay, conditions, well-being	Employee-owned firms; firms competing for scarce skills
Customer satisfaction	Meeting or exceeding customer expectations	Service businesses; firms relying on repeat custom and reviews
Social objectives	Benefiting society or the environment (e.g. reaching net zero)	Social enterprises; firms using CSR to build their brand

Objectives change over time: a start-up's first objective is survival; once established it may pursue growth or profit; a mature plc may add social objectives. Objectives are best set as **SMART**

(specific, measurable, achievable, realistic, time-bound). Objectives can conflict — profit maximisation against employee welfare, for instance — which links to 1.5.5.

1.5.4 Forms of business

a) Sole trader, partnership and private limited company

	Sole trader	Partnership	Private limited company (Ltd)
Ownership	One owner	Two or more partners, sharing ownership, profits and decisions	Shareholders (often family or friends); shares cannot be sold to the public
Liability	Unlimited	Unlimited (except in an LLP)	Limited
Legal identity	Owner and business are the same	Partners and business the same (ordinary partnership)	Separate legal entity; can sue and be sued, continues if owners change
Set-up	Simple; register with HMRC	Simple; a partnership agreement (deed) is advisable	Register with Companies House; articles of association
Finance	Owner's savings, loans; limited	More capital from partners	Can sell shares privately; easier to borrow
Privacy	Accounts private	Accounts private	Accounts filed publicly at Companies House
Examples	Plumber, hairdresser, market trader	Solicitors, accountants, doctors' practices (often LLPs)	Most family businesses and start-ups

Worked illustration of unlimited liability: a sole trader's business closes with debts of £60,000 but assets of only £25,000. The owner is personally liable for the £35,000 difference and may have to sell personal possessions. If the business were a limited company, shareholders would lose only what they had invested.

b) Franchising, social enterprise, lifestyle businesses, online businesses

- **Franchising** — the **franchisor** sells the right to trade under its name and business model to a **franchisee**, in return for an initial fee and ongoing royalties (a percentage of sales). Examples: McDonald's, Subway, Domino's, Costa. *Franchisee benefits:* a proven model, brand recognition, training and support, easier bank finance — lower risk. *Drawbacks:* fees and royalties, little independence, dependent on the franchisor's reputation. *Franchisor benefits:* rapid growth funded by franchisees' capital, motivated owner-managers. *Drawbacks:* less control over quality; a share of profits only.
- **Social enterprise** — a business with mainly social or environmental objectives whose surpluses are reinvested for that purpose rather than paid to owners. May be a Community Interest Company (CIC). Examples: The Big Issue, Divine Chocolate. Must still be financially viable.
- **Lifestyle business** — set up to provide the owner with a particular way of life and a satisfactory income, not to grow (a surf school, a craft brewery, a village café). Owner is profit satisficing.
- **Online business** — trades mainly or wholly via the internet: low set-up costs, national or global reach, 24/7 trading; but intense competition, reliance on delivery networks, and difficulty standing out (e.g. small sellers on Etsy; online-only firms such as ASOS or Ocado).

c) Growth to PLC and stock market flotation

A **public limited company (plc)** can sell shares to the general public, usually through a **stock market flotation** (initial public offering, IPO) on the London Stock Exchange's Main Market or AIM. It must have at least £50,000 of share capital.

Advantages of flotation	Disadvantages
Access to large amounts of capital for growth	Expensive process (legal, banking and advisory fees)

Higher profile and status; easier to borrow	Loss of control: original owners' stakes are diluted; risk of takeover
Founders can sell shares and realise the value they have built	Greater disclosure and regulation; short-term pressure from shareholders for dividends and share-price growth
Shares can be used to fund takeovers and reward staff	Divorce of ownership and control: managers may pursue their own objectives

Some businesses reverse the process and **de-list** (e.g. Wm Morrison was taken private in 2021; several UK firms have moved listings to New York). Deliveroo (2021) floated in London with a share price that fell sharply on its first day — flotation does not guarantee investor confidence.

Exam Tip: When asked which legal structure is most appropriate, weigh **liability, control, finance and privacy** against the entrepreneur's objectives and the risk of the venture. A low-risk lifestyle business may be sensibly run as a sole trader; a capital-intensive start-up with outside investors needs limited liability. The answer “it depends on how much risk and how much finance” — applied to the numbers in the extract — is the evaluation.

1.5.5 Business choices

a) Opportunity cost

Every decision involves giving up an alternative, because resources (money, time, staff, capacity) are scarce. **Example:** an entrepreneur leaves a £38,000-a-year job to start a business; the opportunity cost is the salary forgone (plus security and benefits). A business spending £200,000 on a new website cannot use that money to open a new shop. Opportunity cost is the value of the **next best** alternative, not of all alternatives.

b) Choices and potential trade-offs

- **Growth versus control** — selling shares or taking venture capital brings finance but dilutes ownership.
- **Profit versus ethics / social objectives** — ethical sourcing raises costs.

- **Short-term profit versus long-term investment** — cutting training or R&D boosts profit now but weakens future competitiveness.
- **Quality versus cost** — the design-mix trade-off (1.3.1).
- **Work-life balance versus income** for the entrepreneur.
- **Risk versus reward** — higher potential return usually means greater risk.

1.5.6 Moving from entrepreneur to leader

a) The difficulties in developing from an entrepreneur to a leader

As a business grows, the founder must shift from doing everything personally to leading and managing others. Difficulties include:

- **Delegation** — founders often find it hard to trust others with “their” business, creating bottlenecks.
- **Different skills** — the creativity and risk-taking that start a business differ from the planning, systems, people management and control needed to run a large one.
- **Building a management team** — recruiting professional managers, formal structures and processes (links to 1.4.3).
- **Culture change** — the informal start-up culture must become more structured without losing the energy that made the firm successful.
- **Accountability to investors** — outside shareholders and boards bring scrutiny and pressure.
- **Loss of personal contact** with customers and staff.

Some founders make the transition (Jeff Bezos at Amazon; James Dyson). Others step back and appoint an experienced chief executive, or are replaced by their boards. The evaluation is that the difficulty depends on the founder's willingness to learn and delegate, the speed of growth, and whether the business can recruit strong managers.

Common mistakes

- Saying a limited company "cannot go bankrupt" — it can go into liquidation; limited liability protects the *owners*.
- Confusing a private limited company with a public limited company — only a plc can sell shares to the public.
- Treating a social enterprise as a charity — it trades to generate income.
- Assuming every business aims to maximise profit.
- Defining opportunity cost as "the cost of an opportunity" — it is the next best alternative forgone.

Quick recall

- Entrepreneur: creates, runs and develops a business; bears risk. Intrapreneurship: innovation by employees
- Barriers: finance, skills, risk aversion, regulation, competition, opportunity cost
- Motives: profit maximisation or satisficing; ethical stance, social entrepreneurship, independence, home working
- Objectives: survival, profit, sales, market share, cost efficiency, employee welfare, customer satisfaction, social
- Sole trader and partnership = unlimited liability; Ltd and plc = limited liability, separate legal entity
- Franchising, social enterprise, lifestyle and online businesses
- Flotation: capital and profile versus loss of control, cost, short-termism
- Opportunity cost = next best alternative forgone; trade-offs everywhere
- Entrepreneur to leader: delegation, new skills, structure, culture, accountability